PANJAB UNIVERSITY, CHANDIGARH

Outlines of Tests, syllabi and courses of reading for M. Phil. in Economics for the session 2012-13

SEMESTER – I

09 CREDITS

Paper I	Economic Theory – I	03 Credits (75 marks) (60+15 internal Assessment)
Paper II	Research Methodology	03 Credits (75 marks) (60+15 internal assessment)
Paper III	*Econometrics –I	3 Credits (75 marks) (60+15 internal assessment)
	OR	
	Econometrics – II	03 Credits (75 marks) (60+15 internal assessment)

*Students who have not studied Econometrics at Masters level shall opt for Econometrics-I, others shall be required to opt for Econometrics-II

SEMESTER II

15 Credits

Paper IV	Economic Theory - II	03 Credits (75 marks) (60+15 internal assessment)
Paper V	Theory of Agricultural Economics	03 Credits (75 marks) (60+15 internal assessment)
	OR	
	Theory of Industrial Economics	03 Credits (75 marks) (60+15 internal assessment)
Paper VI	Dissertation	09 credits (225 marks) (Dissertation 180+45 Viva-voce marks)

The students must submit the broad area(s) in which they want to do their dissertation within one month of the start of the 1st semester classes so that the process of allocation of M Phil dissertation shall commence in the 1st semester itself. There will be an internal assessment of 15 marks in each paper and would be based on Term Paper to be presented by each student.

The syllabi of the above papers is given below:

SEMESTER – I

Paper I : Economic Theory – I

3 Credits
75 marks
(60+15 internal assessment)
Teaching Hour : 40
Time : 3 Hours

Objectives: The global developments of the past about two decades have thrown open enormous opportunities in diverse forms. They have created several daunting challenges as well. Research is perceived to play very important role in enabling communities and policy makers to cope up with the emerging challenges successfully. Against this backdrop, the basic objective of this course is to make the prospective researchers familiar with the development issues currently facing the global community. It aims to equip them with the latest developments in the area so that they get ignited to undertake socially meaningful research, particularly in the emerging scenario.

Pedagogy: Class Room Teaching, Term Paper/Assignment, Presentations, Book Reviews & Seminars.

INSTRUCTIONS FOR THE PAPER-SETTERS:

Nine questions will be set in all with two from each unit and one question spread over the entire syllabus.
The 1st question consisting of 4 short notes, each carrying 5 marks, set out of the entire syllabi would be compulsory with no internal choice. Additionally, the students are required to attempt one question from each Unit. Each such question would carry 10 marks.

UNIT – I

Development Issues of our Time I: Looking beyond the Neo-classical Growth Theory; Role of Human Capital (Health, Education), Innovations and Evolving Technologies, Environmental Issues.

UNIT – II

Development Issues of our Time II: Institutions and Development; Markets, Networks, Social Capital; Finance and Development; Political Economy and Policies of Development; Inequality and Development.

UNIT – III

Development Policy in the Twenty-First Century-I: Creating Roadmaps towards Quest for Happiness through Inclusive Growth; Creating more Gainful Employment and Earning Opportunities, Devising Mechanisms for Empowerment.

UNIT – IV

Development Policy in the Twenty-First Century-II: Alternate Policy Paradigms: Economic Nationalism in a Globalizing World; Cooperation versus Competition and Development.

References:

A B Atkinson and A Brandolini (2001), "Promise and Pitfalls in the use of " Secondary" Data Sets: Income Inequality in OECD Countries, " Journal Of Economics Literature.

Ades, Alberto and Edward Glaeser,'' Evidence on growth, increasing returns, and the extend of the market ,"Quarterly Journal of Economics, Volume CXIV (3), August 1999,pp.1025-1046.
Aghion and Howitt, Chapters 2,3,12

Alberto Alesina and Beatrice Weder, Do Corrupt Governments Receive Less Foreign Aid, Revised: May,2000,http:/post.economics.havard.edu/faculty/alesina/pdf-papers/aidjune 10.pdf

Alberto Alesina and Dani Rodrik (1994),"Distributive politics and economic growth ," Quarterly Journal of Economics,108: 465-90.

Alberto Alesina and Roberto Perotti."The Policies of Growth : A Survey of the Recent Literature," World Bank Economics Review, September 1994 8:351-72

Allan Drazen, Political Economy In Macroeconomics, Princeton University Press, 2000, Chapter 10 and 11.

Barro and Xavier-Sala- i-Martin, Economic Growth, Prentice Hall (2004). See especially Chapters 1 – 2 and 3 – 5.

Bils, Mark and P. Klenow "Does Schooling Cause Growth?", American Economic Review, December 2000, 90(5), pp.1160-1183.

Burnside, Craig and David Dollar," Aid Policies, and Growth,"American Economic Review 90(4) (September2000): pp.847-68.

Chang Tai Hsieh and Peter Klenow, Relative Prices and Relative Prosperity, Mimeo Stanford and Berkeley, August 2004.

Chang Tai Hsieh, What Explains the Industrial Revolution in East Asia? Evidence from the factor Markets. (American Economic Review, june 2002).
http:/www.princeton.edu/-chsieh/aea3pdf

Conley, Timothy and Chris Udry.2002.Learning about a New Technology: Pineapple in Ghana. Manuscript:Yale.
http://www.econ.yale.edu/~udry/pdf/learn.pdf

Costas Azariadis and John Stachurski, Poverty Traps? Prepared for the Handbook of Economic Growth, 2004,
http:/elsa.berkley.edu/~chad/azstach.pdf

Dani Rodrik, Growth Strategies, a paper for the Handbook of Economic Growth, April 2003.

Daron Acemoglu, Simon Johnson, James Robinson, Institutions as the Fundamental Cause of Long-Run Growth, April 29,2004, forthcoming Handbook of Economic Growth. http://else.berkeley.edu/~chad/handbook9sj.pdf

Daron Acemoglu, Simon Johnson, James Robinson, Reversal of Fortune: Geography and Institutions in the making of the Modern World Income Distribution, Quarterly Journal of Economics, November 2002, Volume117, pp.1231-1294.

Daron Acemoglu, Simon Johnson, James Robinson, The Colonial Origins of Comparative Development: An Empirical Investigation, American Economic Review, December, 2001, Volume 91, pp.1369-1401.

David Albouy, The Colonial Origins of Comparative Development: A Reinvestigation of Data, Department of Economics, University of California-Berkeley, July 2004.

Deepa Narayan, and Lant Pritchett, Cents and Sociability: Household of Income and Social Capital in Rural Tanzania, Economic Development and Cultural Change,1999, Vol.47(4).

Edward L.Glaeser, BruceI.Sacerdote and jose A Scheinkman The Social Multiplier (June 2002) European Economic Review, Forthcoming.

Edward L.Glaeser, David Laibson, and Bruce Sacerdote the Economic Approach to Social Capital, Economic Journal, 112 (2002): 437-458.

Edward L.Glaeser, Rafael La Porta, Florecio Lopez-de-Silanes, Anderi Shleifer, DO INSTITUTIONS CAUSE GROWTH? NBER Working Paper 10568, June 2004, http://papers.nber.org/papers/w10568.pdf

Esther Duflo and Abhijit Banerjee Inequlitiy and Growth: What Can the Date Say? June 2003, Revised, http://econ-www.mit.edu/faculty/download_pdf.php?id=445

Forbes, Kirsten J.(2000)" A Reassessment of the Relationship between Inequality and Growth" American Economic Review,90(4) ,869-887.

Francesco Caselli " The Missing Input: Accounting for Cross-Country Income Differences", forthcoming chapter in the Handbook of Economic Growth November 2003, http://post.economics.havard.edu/faculty/caselli/papers/handbook.pdf

Grief, Avner (1993) " Contract Enforceability and Economic Institutions in Early Trade: The Maghribi Traders," American Economic Review,83 (3),pp.525-548.

Jacob Svensson, " Foreign Aid and Rent –Seeking", Journal of International Economics, 2000, Vol.51 (2):437-461.

Jacob Svensson, Why Conditional Aid Doesn't Work and What Can Be Done About It? Journal of Development of Economics, 2003, Vol.70 (20:381-402).

James Rauch, "Business and Social Networks in International Trade," "Journal of Economic Literature 39 (December 2001): 1177-1203.

Jess Benhabib and Mark M. Spiegel, Human capital and Technology Diffusion, December 09, 2002, http://www.econ.nyu.edu/user/benhabib/growthhandbook10.pdf

Jones, (Chad.1995a) "R&D-Based Models of Economic Growth", Journal of Political Economy, August, 103, pp.759-84.

Jones, Charles (1995) " Time Series tests of Endogenous Growth Models" Quarterly Journal of Economics, May, 105(2), 495-526.

Klenow, Peter and Andres Rodriquez-Clare (1997b), "The Neoclassical Revival in Growth Economics: Has it Gone Too Far?" NBER Macroeconomics Annual 1997, Volume 12, 73-103.

Krueger, Alan B. And Mikael Lindahl, "Education For Growth" Journal of Economic Literature, 2001.

Lant Prichett, "Divergence, Big Time". Journal of Economic Perspectives, 1997.

Mankiw, N.Gregory (1995). "The Growth of Nations", Brookings Papers on Economic Activity 1, pp.275-326.

Marcel Fafchamps, "Market Institutions in sub-Saharan Africa", MIT Press, 2004 (chapter 1,2,22, and possibly others)

Marcel Fafchamps, "Networks, Communities and Markets in SUB-Saharan Africa: Implications of Firm Growth and Investment", Journal of African Economics, Volume 10, supplement 2: September 2001, pp.109-142.

Oded Galor; Joseph Zeira, "Income Distribution and Macroeconomics", The Review of Economics Studies, Vol.60, no.1.(Jan.,1993), pp.35-52.

Peter Boone, " Politics and the Effectiveness of Foreign Aid." European Economic Review, 1996, 40(2), pp.289-329.

Pritchett, Lant (2001). " Where Has All The Education Gone?" World Bank Economic Review.

Pritchett, Lantt. " Does Learning to add up? The return to Schooling in aggregate data," draft for Handbook of Education Economics, September 2, 2004.

Romer, Paul (1995). Comment on N. Gregory Mankiw, "The Growth of the Nations" Brooking Papers on Economic Activity 1, pp.313-320.

Ronald Benabou, "Inequality, Technology, and the Social Contract", December 2003, chapter for Handbook of Economic Growth. http://www.princcton.edu/%Erebenabou/Handbook1.pdf

Ross Levine, " Finance and Growth: Theory and Evidence", Chapter for Handbook of Economic Growth, September 2004, available at
http://legancy.csom.umn.edu/WWWPages/FACULTY/RLevine/Index.html

Stanly L. Engerman and Kenneth L. Sokoloff, Factor Endowments, Inequality, and Paths of Development among New World Economies, Economia, Fall 2002

Thorsten Beck and Ross Levine, Legal Institutions and Financial Development, July 29,2003, available at http://legancy.csom.umn.edu/WWW Pages/Faculty/R

Valerie Bockstette, Arrendam Chanda, and Louis Putterman,2002, States and Markets: The Advantage of an Early Start, journal of Economic Growth, 7, 347-369.

W. Easterly and R.Levine, "Africa's Growth Tragedy: Policies and Ethnic Divisions," November 1997, Quarterly Journal of Economics, CXII(4),1203-1250.

W. Easterly, " National Policies and Economic Growth: A Reappraisal" Development Research Institue (DRI) Working Paper No. 1, New York University, paper for the Handbook of Economic Growth, March, 2003.

William Easterly, Ross Levine, and David Roodman " New Data, New Doubts: A Comment on Burnside and Dollar's " Aid, Policies, and Growth," (2000). American Economic Review, 2003, forthcoming.

Additional Readings

Amartya Sen (1999), " Employment, Technology and Development". Oxford University Press, New Delhi.

Ben Fine, Costas Lapvitsas and Jonatham Pincus eds.(2001), Development Policy in the Twenty-First Century Beyond The Post-Washington Consensus, Routledge, Oson Banka Milanovic (2007), Worlds Apart: Measuring International and Global Inequality, Princeton University Press, Princeton.

Dani Rodrik (2007), One Economics, many Recipes: Globalization, Institutions and Economic Growth, Princeton University Press, Princeton.

Igancy Sachs (2000), Understanding Development, Oxford University Press, New Delhi.

Jeffery D. Sachs(2005), The End of the Poverty: Economic Possibilities for our Time, Penguin Press, London.

Manus I. Midlarsky ed.(1997) , "Inequality, Democracy, and Economic Development", Cambridge University Press, Cambridge.

Narcis Serra, Joseph E. Stiblitz Eds.(2008), "The Wsigton Consensus Reconsidered: Towards a New Global Govenance (Initiative for policy Dialouge)", Oxford University Press, Delhi

Paul Patrick Streeten (1997), Thinking about Development, Cambridge University Press, Cambridge.

Sen, A.K.(1984), "Resources, Values and Development," Basil Blackwell, Oxford University Press, New Delhi

Sen, A.K.(1999), Development As Freedom, Knopf, Harvard University Press, Havard.

Toye, J.(1987), Dilemmas of Development, Balckwell, Oxford University Press, Delhi.

World Bank (2005), World Development Report: Equity and Development, World Bank, Oxford University Press, New York.

World Bank (2001), Finance for Growth: Policy Choices in a Volatile World, Oxford University Press Inc, New York.

W.W. Rostow (1991), The Stages of Economic Growth: A Non-Communist Manifesto, Cambridge University Press, Cambridge.

Paper II – Research Methodology

3 Credits
75 marks
(60+15 internal assessment)
Teaching Hours: 40
Time : 3 Hours

Objective of the Course: The objectives of this paper are (i) to acquaint the students with the advances in the field of Research Methodology; and (ii) develop research methodological skills for undertaking research in social sciences in general and in a discipline in particular.

Pedagogy: Class Room Teaching, Term Paper/Assignment, Presentations, Book Reviews & Seminars.

INSTRUCTIONS FOR THE PAPER-SETTERS:

Nine questions will be set in all with two from each unit and one question spread over the entire syllabus.
The 1st question consisting of 4 short notes, each carrying 5 marks, set out of the entire syllabi would be compulsory with no internal choice. Additionally, the students are required to attempt one question from each Unit. Each such question would carry 10 marks.

Unit-I

Philosophy of Social Sciences:
Approaches to Social Sciences Research: Quantitative and Qualitative.
Inter-disciplinary Research in Social Sciences: Rationale and Approaches.
Social Science Research Process.
Selection and Formulation of Research Problem under Quantitative and Qualitative research approach.
Research Synopsis: Concept, Format and Writing.

Unit-II

Hypothesis: Concepts, Types, Features and Testing.
Sampling: Concepts, Types, Size, Sampling Error.
Triangulation: Concept, Rationale and Process.
Meta Analysis: Concept, Rationale and Process.

Unit-III

Methods of Data Collection.
Data Processing
Data Analysis
Report and Thesis Writing.

Unit-IV

Data Sources of Indian Economy
Nature and Sources of Micro and Macro Statistical Data relating to : Agriculture, Industry, Public Finance, Banking & Finance, External Trade, Consumption, Employment, and National Income.

References

1. John W. Creswell (1994) : Research Design: Qualitative and Quantitative Approaches, London, Sage Publications.

2. S.P.Gupta (1987) : Statistical Methods (latest edition), New Delhi, Sultan Chand and Sons.

3. C.A. Moser and G.Kalton (1979) : Survey Methods in Social Investigation, London. The English Language Book Society and Heinemann Educational Books, 2nd edition.

4. Delbert C.Miller, (2009) : Handbook of Research Design and Social Measurement, London, Sage Publications, 5th edition.

5. David Nachmias and Chara Nachmias: Research Methods in the Social Sciences, New York, St. Martin's Press Inc. 2nd edition.

6. Clarie Seltiz et.Al., (1976) : Research Methods in Social Relations, New York, Holt Rinehart and Winston.

7. Pauline V. Young (2007) : Scientific Social Research and Surveys, India. Asia Publishing House, 4th edition.

8. William J. Goode and Paul K. Hatt (2006) : Methods in Social Research, (USA, Mc Graw Hill Book Company, Ist Indian Reprint.

9. Norman K.Denzin, Yvonna S. Lincoln (eds.) (2003). : The Landscape of Qualitative Research: Theories and Issues. Sage Publications, New Delhi.

10. Clive Seale, Giampietro Gobo, I. Gubrium & David Silverman (eds.) (2004). : Qualitative Research Practice, Sage Jaber Publications, New Delhi.

11. Dawn Durton (ed.) 2000. : Research Training for Social Scientists, Sage Publications, New Delhi.

12. Royle A.Singleton, and Bruce C. Straits (1999) : Approaches to Social Science Research, Jr. Oxford University Press.

13. Mason, Jennifer (2002) : Qualitative Researching, Sage.

14. Chandrasekhar C.P., surveys Jandhyala B.G. Tilak (2001) : India's Social-Economic Database – of selected areas, Tulika, New Delhi.

Paper III - Econometrics-I

3 Credits
75 marks
(60+15 internal assessment)
Teaching Hours: 40
Time : 3 Hours

OBJECTIVES: Application of economic theory need a reasonable understanding of economic relationships and relevant statistical methods. The econometric theory thus becomes a very powerful tool for understanding of applied economic relationships and for meaningful research in economics. This paper accordingly is devoted to equip the students with basic theory of econometrics and relevant applications of the methods. The topics covered in the course include various problems faced in estimation of both single equations and simultaneous equation models.

Pedagogy: The course relies on a combination of lectures, solving problems, and discussing of academic articles or real-life situations. Teacher will assign topic for assignments on contemporary themes and issues from the syllabi. Special tutorials/contact hour for one-to-one student-teacher interactions.

INSTRUCTIONS FOR THE PAPER-SETTERS:

Nine questions will be set in all with two from each unit and one question spread over the entire syllabus.

The 1st question consisting of 4 short notes, each carrying 5 marks, set out of the entire syllabi would be compulsory with no internal choice. Additionally, the students are required to attempt one question from each Unit. Each such question would carry 10 marks.

Unit-I

Introduction: Meaning and rationale of Econometric as a separate discipline, Methodology, Types of Econometrics, Nature and Sources of Data used in Econometric Analysis. Functional Forms of Regression Models.

Linear Regression Model: Assumptions, Estimation [OLS], Properties, Interpretation of Estimates and Hypothesis Testing.

Unit – II

Dummy Variables: Introduction and Uses [as independent variables].

Estimation Problems: Nature, Consequences, Detection and Remedial Measures of the Problems of Autocorrelation, Hetroscedasticity, Multicollinearity, and Specification Errors.

Unit – III

Dynamic Econometric Models: Distributed Lag and Autoregressive Models-Rationale, Problems, Kyock and Polynomial Approaches of Estimation, and Adaptive Expectation and Partial Adjustment Models, Causation and Granger Test.

Simultaneous Equation Models: Nature of Simultaneous Equation Models, Problem and Consequences of Simultaneity in Regression Models. Identification Problem. Derivation of Rank and Order Conditions for Identification of Simultaneous Equations.

Unit – IV

Estimation of Simultaneous Equation Models: Indirect Least Squares, Two Stage Least Squares, Least Variance Ration, and Three Stage Least Squares Methods of Estimation of Simultaneous Equation Models.

References:

Damodar Gujarati (2003)	:	Basic Econometric [4th Edition], McGraw Hill, New York.
Jack Johnston and John Dinardo (1997)	:	Econometric Methods [4th Edition], McGraw Hill, New York.

OR

Paper – III : Econometrics-II

3 Credits
75 marks
(60+15 internal assessment)
Teaching Hours : 40
Time : 3 Hours

OBJECTIVES: The aim of this paper is to make the students familiar with the use of Limited Dependent Variable models in econometric analysis and also with the application of econometrics to household demand and production analysis in agriculture and industry. problems faced in estimation of both single equations and simultaneous equation models.

Pedagogy of the Course Work: The course relies on a combination of lectures, solving problems, and discussing of academic articles or real-life situations. Teacher will assign topic for assignments on contemporary themes and issues from the syllabi. Special tutorials/contact hour for one-to-one student-teacher interactions.

INSTRUCTIONS FOR THE PAPER-SETTERS:

Nine questions will be set in all with two from each unit and one question spread over the entire syllabus.

The 1st question consisting of 4 short notes, each carrying 5 marks, set out of the entire syllabi would be compulsory with no internal choice. Additionally, the students are required to attempt one question from each Unit. Each such question would carry 10 marks.

Unit-I

*Discrete Dependent Variable Mo*dels: Linear Probability Model and its Problems; Logit [both Binomial and Multinomial] and Probit Models: Assumptions; Maximum Likelihood Estimation Methods; Interpretation of Coefficients; Constructing Probabilities; Restrictions and Limitations; Marginal Effects; Measuring Goodness-of-fit; Testing Parameter Restrictions.

Unit - II

Limited Dependent Variable Models
Truncated and Censored Samples; Sample Selection Bias; The Truncated Regression Model; Marginal Effects; The Tobit Model; Interpretation of Tobit Model Coefficients; Testing for Normality; Limitations of the Tobit Model.

Bivariate Generalisations of the Tobit Model; the Selectivity(Heckit) Model; Two-step and Full-information Estimation Methods; Interpretation of Model Coefficients; Diagnostic Testing; the Double Hurdle (DH) Model; Switching Regressions; Diagnostic Testing.

Unit – III

Econometrics Application to Demand Analysis: Introduction, Single Demand Equations, Systems Demand Equations, Dynamic Demand Analysis.

Unit – IV

Econometric Applications to Production Analysis in Agriculture and Industry: Basic Introduction to Theory of Firm, Relationship between Production, Cost and Profit Functions, Cobb-Douglas, CES, and Translog Production Functions.

Frontier Production Function and Technical Efficiency. Random Coefficient Frontier Production Function, Cost Function, and Employment Function. Total Factor Productivity- Measurement, Growth, and Decomposition.

References:

Jack Johnston and John Dinardo (1997)	:	Econometric Methods [4th Edition], McGraw Hill, New York.
Michael D. Intriligator (1996)	:	Econometric Models, Techniques, and Applications, (2nd Edition) Prentice-Hall, New Jersey.
K. L. Krishna (1999)	:	Econometric Application in India, Oxford University Press, New Delhi.
William H. Green (2000)	:	Econometric Analysis, (4th Edition) Prentice-Hall, New Jersey.

SEMESTER – II

PAPER IV - ECONOMIC THEORY – II

3 Credits
75 marks
(60+15 internal assessment)
Teaching Hours 40
Time : 3 Hours

Objectives: The aim of this paper is to make the students familiar with some of the recent developments in micro and macro economics which have wide range of applicability to solve and explain phenomena; some of which can provide new insights into the empirical estimation of economic relationship.

Pedagogy of the Course Work: The course relies on a combination of lectures, solving problems, and discussing of academic articles or real-life situations. Teacher will assign topic for assignments on contemporary themes and issues from the syllabi. Special tutorials/contact hour for one-to-one student-teacher interactions.

INSTRUCTIONS FOR THE PAPER-SETTERS:

Nine questions will be set in all with two from each unit and one question spread over the entire syllabus.

The 1st question consisting of 4 short notes, each carrying 5 marks, set out of the entire syllabi would be compulsory with no internal choice. Additionally, the students are required to attempt one question from each Unit. Each such question would carry 10 marks.

UNIT – I

I MARKET FAILURE: SOME MICRO ECONOMIC ASPECTS

A. Externalities: (i) Inefficiency of resource allocation in the presence of externalities; Impact of Market Structure on Social Welfare Loss due to Negative Externalities.

(ii) Reducing Negative Externalities. Emission Standards, Emission Fees, Cost & Benefit Analysis of Reducing Negative Externalities. Taxing Negative Externalities in Non Competitive Market Structures.

(iii) Allocating Property Rights to reduce Negative Externalities: Coase Theorem; Markets for Pollution.

B. COMMON PROPERTY. Issue of Over Use and Solution.
Public Goods. Paretian Conditions for Public Goods. Revealing Preferences and Valuing Public Goods.

UNIT – II

II. Markets with Asymmetric Information: Issues of hidden characteristics/actions and Adverse Selection/Moral Hazard in Insurance and Labor Markets. Response of Market and Government to Asymmetric Information: Efficiency Effects.

III. **<u>Questioning the Orthodoxy</u>:** The emergence of Behavioral Economic Reference Points, Adaptation and Losses. Social Preference and Fair allocations; Law of small numbers; Belief Perseverance and Confirmatory Bias.

UNIT – III

Monetarist Keynesian debate on Macro Theory and Policy.

Monetarists views on Inflation and Trade Cycles.

Rational Expectations and the New classical Macro Economics:

Policy Ineffectiveness
Time Inconsistency
The Random Walk Model – Modern Approach to Consumption
Real Business Cycle Theory

UNIT – IV

New Keynesian models of macroeconomic equilibrium:

(a) Real and Nominal Rice Rigidity:
Menu Costs; Coordination Failures.

(b) Real and Nominal Wage Rigidity:
Insider-Outsider Models, Efficiency Wages; Implicit Contracts.

References:

Pindyck, R.S. Rubinfeld, D L & P.L. Mehta (2005)	:	Microeconomics (5th Edition), Pearson Education, Delhi, Chapters 16, 17, 18.5
Katz, M L and Harvey S Rosen (1999)	:	Microeconomics (3rd Edition) Irwin Chapter 16
Szenberg, M and Ramrattan L (2004)	:	New Frontiers in Economics, Cambridge University Press. (following readings) (i) Reading of Behavioral Economics by Mathew Robin (ii) Information and the Change in the Paradigm in Economics by Joseph E Stigliz
Dornbusch, R, S. Fischer, R. Startz (2004)	:	Macroeconomics, (9th Edition) Tata McGraw Hills Publishing Co. Ltd., New Delhi
Gupta, G S (2004)	:	Macroeconomics: Theory and Applications (2nd Edition), Tata McGraw Hills Publishing Co. Ltd., New Delhi

Eric J. Pentecost (2000)	:	Macroeconomics: An open economy approach, Macmillan Press Ltd., London
Bhaduri, A (1993)	:	Unconventional Economics Essays, Oxford University Press, New Delhi
Rakshit, M (1989)	:	Studies in the Macroeconomics of Developing Countries. Oxford University Press, New Delhi.
Patnaik, P (1997)	:	Macroeconomics, Oxford University Press, New Delhi
Jha Raghbendra (2008)	:	Contemporary Macroeconomic Theory and Policy, New Age International Publications.

Paper V : Theory of Agricultural Economics

3 Credits
75 marks
(60+15 internal assessment)
Teaching Hour : 40
Time : 3 Hours

OBJECTIVES: The paper is designed to expose the students to the contemporary issues in agricultural development both in the theory and in the Indian context.

Pedagogy of the Course Work: The course relies on a combination of lectures, solving problems, and discussing of academic articles or real-life situations. Teacher will assign topic for assignments on contemporary themes and issues from the syllabi. Special tutorials/contact hour for one-to-one student-teacher interactions.

INSTRUCTIONS FOR THE PAPER-SETTERS:

Nine questions will be set in all with two from each unit and one question spread over the entire syllabus.
The 1st question consisting of 4 short notes, each carrying 5 marks, set out of the entire syllabi would be compulsory with no internal choice. Additionally, the students are required to attempt one question from each Unit. Each such question would carry 10 marks.

UNIT – I

Agriculture Transformation – Role of Agricultural Innovations: Generations of Innovations [induced innovations, Political Economy of Public Funded Innovations, and Policies and Institutions Managing Innovations]; Technology Adoptions [Adoption and Diffusion, Risk Management, Institutional Constrains to Innovations and Farm Policy]; Ruttan-Hayami Induced Innovation Hypothesis.

Agricultural Commodity Futures and Options: Nature and Principles of Future Markets; Participants in Future Markets; Trading in the Presence of Risk Aversions and Transaction Costs, Future Prices as Forecasts.

UNIT – II

Agro-processing: Specificities of Agro-processing, Developmental Role of Agro-processing Industries, Selection and Evolution Options; Food Processing Policy of India, 2005.

Agricultural Finance: Agency Relationship, Adverse Selection, Moral Hazards and Enforcement Problem; Segmented Rural Credit Markets; Resolving Information and Incentive Problems; Managing Borrowers' Credit Risks, Agribusiness and Trade Financing and Role of Social Capital.

Unit – III

Political Economy of Agricultural Policies: Protection Across Countries and Sectors, Influence of Political Institutions; Collective Actions of Lobbing Groups and Strategic Interactions between Lobbing Groups and Politicians; Use of Inefficient Instruments and Rent Seeking; and Explaining Public Investment in Agricultural Research.

Food Security and Food Assistance: Concept, Threat, Indicators and Mechanism to Food Security; Food Assistance Programmes [both Domestic and International], and Their Effectiveness.

UNIT – IV

Indian Agriculture- Opportunities and Challenges: Expectations, Performance, Problems and Prospects of Indian Agriculture in the Post-reform Period.

Investment in Farm People: Role of Human Capital Formation [Education and Health] in Modernization and Transition of Agrarian Economies.

References:

Bruce L. Gardner and Gordon C. Rausser (2002)	:	Handbook of Agricultural Economics, Vol-1A,1B, 2A, 2B and 3; North-Holland, Amsterdam.
James G. Brown and Deloitte and Touche (1994)	:	Agro-industrial Investment and Operations, Washington, The World Bank.
Government of India (2005)	:	Food Processing Policy, Ministry of Food Processing, New Delhi.
T.W.Schultz (1981)	:	Investing in Peoples: The Economics of Population Quality, University of California, Berkley.
Radhakrishna R, S. K. Rao, S. Mahendra Dev and K Subbarao (2006)	:	India in a Globalising World: Some Aspects of Macro economy, Agriculture and Poverty, Academic foundation, New Delhi.
Government of India (2004)	:	State of the Indian Farmer : A Millennium Study, Academic Foundation and Ministry of Agriculture, New Delhi, (Vol. 1-27).

OR

Paper –V : Theory of Industrial Economics

3 Credits
75 marks
(60+15 internal assessment)
Teaching Hours : 40
Time : 3 Hours

Objectives: In the 21st century, efficiency and competitiveness in all spheres of economic life and more 500 industrial sectors are at the core of success. The present syllabus is designed for the students to capture the contemporary issues in industrial development both in theory and in the Indian context.

Pedagogy of the Course Work: The course relies on a combination of lectures, solving problems, and discussing of academic articles or real-life situations. Teacher will assign topic for assignments on contemporary themes and issues from the syllabi. Special tutorials/contact hour for one-to-one student-teacher interactions.

INSTRUCTIONS FOR THE PAPER-SETTERS:

Nine questions will be set in all with two from each unit and one question spread over the entire syllabus.

The 1st question consisting of 4 short notes, each carrying 5 marks, set out of the entire syllabi would be compulsory with no internal choice. Additionally, the students are required to attempt one question from each Unit. Each such question would carry 10 marks.

UNIT – I

Economics of Takeovers and Mergers: Types, Objectives and Effects. Public Policy for business combinations with special reference to India: Takeover code of SEBI and Competition Policy

UNIT – II

Technological Progress: Concepts, Optimal Technological Change; Patents and Innovations.

UNIT – III

Porter's Five Competitive Forces: Bargaining Power of Customers, The Bargaining power of Suppliers, The Threat of New Entrants, and The Threat of Substitute Products -- Combined with Other Variables to Influence a Fifth Force, The Level of Competition in an Industry. Determinants and Strategy Formation.

UNIT – IV

Globalization, Trade Liberalization and Industrial Market Structure and Economic Performance: Theory and Evidence since 1991.

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